

STITCH FIX INC SFX

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by baileyb906

			2026	2027
Price:	4.11	EPS	-.15	.01
Shares Out. (in M):	135	P/E	N/A	N/A
Market Cap (in \$M):	556	P/FCF	28	19
Net Debt (in \$M):	-229	EBIT	-16	-7
TEV (in \$M):	327	TEV/EBIT	N/A	N/A

Description

Stitch Fix is a company that went public in 2017 with long-term growth expectations that were too high and an exaggerated and unrealistic definition of its TAM. It's an example of an internet-enabled business model that was very popular at the time but has largely fallen by the wayside: the subscription box. Stitch Fix has been written up twice before on VIC in 2018 and 2022, so I won't go too deep in describing the business. Suffice to say, Stitch Fix's traditional offering was a monthly subscription box of five clothing items, with the selection of the items powered by a combination of data science (now in 2026 called AI) and human stylists. Subscribers could keep only what they liked from the box, and the styling fee would be waived if they kept at least one item. Obviously, the more items that get kept, the better the economics to Stitch Fix, and the pitch was that the data gathered on customer preference, measurements, fit, and an analysis of what they kept previously versus what they sent back could help Stitch Fix move to a greater retention metric for the box, driving revenue per active customer and margins. This actually made sense. What didn't make sense at the time was the TAM they defined for themselves, which was basically everyone over a certain minimum income that buys clothes. This was never realistic.

I was a big bear on this stock for years, not because I didn't believe data could be used to make the online clothing shopping process easier, but because the talking up of the TAM ignored the fact that a lot of people actually enjoy shopping for clothes, especially women. Whether it is in store, or online using home as the dressing room, or heading for a treasure hunt in TJ Maxx, a lot of people like shopping, particularly women. This I thought would limit the TAM for this business.

Some of the harshest comments I have ever written in the comment section of a VIC post were about this stock in 2018... go look them up - they are still there. Here's a short excerpt of my bashing of this company eight years ago:

"You have neglected to mention any risks...I will just note a few:

- increasing customer acquisition costs (low hanging fruit been picked?)
- decelerating growth (always tough with "tech" IPOs)
- poor disclosure/hard to get hands around churn
- increasing number of competitors with increasing customer focus/segmentation...does authenticity go down as they try to be all things to all people (core womens, adding plus, adding mens, etc.) while upstarts stay focused
- a full price model in an era characterized by everyday promotions"

Luckily, I wasn't short when I wrote these comments because the stock ran from \$21 at the time of the VIC write up to a post-IPO high of \$51, before crashing down to reality, and later, briefly becoming a meme stock in late 2020/early 2021, when it topped out at \$106.

But I was right about the business... Revenue in the FY18 year when I wrote the message was \$1.2 billion and EBITDA was \$54 mm. Fast forward to the guidance for the year ending July 2026, revenue is guided to \$1.35 billion and EBITDA to about \$51 million. That's an 8-year topline CAGR of 1.5% with EBITDA slightly down. The business did not grow sustainably. Revenue did surge to \$2 billion in the pandemic years, but Stitch Fix couldn't hold the clients when the world re-opened, and former management allowed the cost structure to bloat along the way. This has been addressed. While revenues are down about 35% from the FY21 peak, SG&A is down now about 40% since then. Yet the company is spending what is necessary to rebuild its client base - with active clients actually up quarter over quarter in the most recent quarter for the first time in years.

OK, so is this a long write up or a history lesson? And I just spent 500+ words explaining how this business hasn't historically worked. Well, quite a bit has changed since 2018. First of all, the EV of the company now is about \$325 million versus \$1.8 billion then, with sales about 10% higher. The company trades at an EV/Sales below 25%, which in my experience means that the company is either going to go under or eventually be a pretty good investment. Consumer names don't stay 25% EV/Sales forever - things typically either get much better or much worse.

Also, the company has meaningfully improved operations over the last three years since CEO Matt Baer joined the company. Over the past few years, Stitch Fix has expanded its assortment (adding athleisure, shoes, accessories, etc.) and its range of price points and brands. This allows it to go for share of wallet with its customer and offer a better experience to the high value cohort who really want a "do it for me" approach to personal styling. More categories mean more inventory, which is always a risk with any kind of retailer, but it also does expand the retailer's TAM.

Stitch Fix also now allows customers to shop "Freestyle" (a la carte and not in a styled Fix), which expands the number of occasions it can address and the number of customers with needs it can serve.

I believe there are early signs of a turnaround here. Among them:

- In Q1 of 2026 (ending last October since this company's year-end is in July), year over year revenue growth turned positive for the first time in a long time and it has been positive in the first three quarters of this year. Revenue growth was 7% in Q1, 9% in Q2, and 5% in Q3 this year. Stitch Fix guided to about 5% in Q4. Usually companies with EV/Sales below 25% have negative topline growth. Not here.
- Average order value (AOV) has grown for 11 straight quarters, which is evidence that active customers are finding value in the service
- Revenue per active client was at an all-time high of \$578 in the recently reported 3Q26, which again points to satisfied clients (now they just need more of them)

- A new CEO came in three years ago with experience in the digital divisions of Macy's and Walmart and has brought both discipline and imagination to the company

So versus 2018, when I hated the stock, you have a more prudent and experienced leader, low expectations, and a low valuation. You also have a net cash balance of \$229 million, approximately 40% of the market cap. The company is free cash flow positive. So time is on your side.

There's also a large buyback in place. The current authorization is for \$105 million (less than half the cash balance), which represents almost 20% of the market cap. Last quarter, they spent \$15 million on the buyback and bought shares at an average price of \$3.33. Lots of companies buy back stock, but I would argue with a stable business, a net cash balance sheet, and this valuation... buying back shares is a great idea.

The other thing that has happened in the last eight years – and especially the last two years – is AI and machine learning have gotten much better. This helps Stitch Fix, always a data-first company, in several ways. First, better use of data can help with personalization, fit and fashion preference prediction, and generally help lower return rates. AI can also enhance the customer experience. Stitch Fix has seen a lift with shoppers that actively use its Vision feature, which generates images of the user/shopper in the clothing items he or she is considering.

Also, just as importantly, ad targeting online is so much more sophisticated than it was eight years ago, which opens up the possibility of using a rifle approach to marketing versus a shotgun, wide net, top of funnel effort – which generally is less efficient when it comes to CAC (customer acquisition cost) and suppresses profitability.

I still don't think the target market is infinite here, but there are some clear use cases. Some examples of fruitful demographics to target offered by CEO Matt Baer at the ICR Conference in January included divorced dads re-entering the dating scene for the first time in decades, without a wife to dress them, and GLP-1 users who are rapidly changing size and needing to refresh their entire wardrobe multiple times during a weight loss journey. These are niches that can now be targeted pretty precisely on platforms like Instagram, Reddit, YouTube, etc., which is a lot more efficient than running a primetime TV ad (which in the early days was the approach to customer acquisition).

Let's be clear – this is a speculative idea and should be sized accordingly. But historically, an interesting juncture to get involved in a turnaround is when either revenue growth or EBITDA goes from negative for a long time to finally positive. You combine this inflection point moment with a solid balance sheet, free cash flow positive business operations, and a valuation that projects nothing positive is going to happen, and I think the risk is pretty limited and relative to the reward that could await you if this company finally gets it right. It doesn't have to take over the world. When it was at \$2 billion in revenue, it traded at 2.7x sales. If this company could grow sales by 20% over 3 years – which seems do-able and traded at just 60% of sales like a mature mall-based retailer (an undemanding valuation), the stock would be \$7.25 versus the current quote just above \$4.

Is my conviction level 100% that this company is going to return to sustainable growth? Not at all. It's probably more like 50%. They appear to be doing the right things in terms of merchandising, marketing, setting realistic investor expectations, etc. But the apparel business is tough, and the macro backdrop of the consumer spending environment is shaky. But I wouldn't let macro scare me out of this trade, because retail is a share game and even in a shrinking consumer spending environment, there can be share takers that grow through a macro contraction (this theory doesn't hold up if you are buying Walmart or Home Depot, but it can hold up in small cap and microcap land). Essentially, I see green shoots, and I think the strategy that the CEO has articulated makes sense. Meanwhile, the company appears to have a baseline of content and loyal customers, who will keep the lights on and EBITDA around where it is now. And if they can actually start to recruit net new customers for the business, it has moonshot potential.

The stock is very lightly covered by the sellside, with six publishing analysts, three of which rate the stock as a hold and one a sell. Every quarter, things seem to be moving ever so slightly in the right direction, but the stock has nevertheless been range bound between \$3 and \$5.50 this year and hasn't gotten any credit for fundamentals being meaningfully better than a year ago.

The company should make around \$50 million in EBITDA this year, so it's trading about 6.5x that. With unheroic assumptions of mid-single digit topline growth and 100 basis points of operating margin expansion, I can get this company to \$70 million in EBITDA in 2 years. Holding that 6.5x multiple constant and ignoring cash generation and buybacks would yield a \$5 stock, up about 20% from the current quote. But if this company really can grind out even 10% EBITDA growth (versus my expectation for more like 15%-20%), I think this gets multiple expansion to at least 10x, which would yield a stock of roughly \$7 (+70%).

A stock that I have owned for several years that was a disappointing IPO of the same era, also in e-commerce is The RealReal (REAL). It was a total stock blowup and traded between \$1 and \$2 for a couple of years, before going on a tear when revenue growth recovered to 10%+. It currently trades at 26x consensus EBITDA for 2026. REAL to be honest has a better end market – second-hand premium/luxury is a hot and secularly growing space. So its end market is growing faster and it's a market leader, so I am not predicting a multiple expansion to the 20s here. But I do think SFI shares could trade a lot higher than 10x if it can surprise to the upside and get to 10% growth, versus the 6% it will do this year and the forward expectations for 4% topline.

This inflection point moment of revenue growth turning modestly positive at Stitch Fix is very reminiscent for me of where The RealReal was a couple of years ago... and once it was proven that the business had not only stabilized but returned to growth, the stock went nuts. It feels like there could be a little bit of history not repeating but maybe rhyming here.

As noted above, some signs of the company getting it right are improvements in revenue per active customer, AOV, and sequential active customer growth. This sequential active customer growth from 3Q26 is notably not supposed to repeat in the seasonally slower summer months of Q4, but I do think the company is generally going in the right direction in terms of slowing churn and accelerating new customer acquisition so that they can get to a net positive new customer position consistently – and they have been giving guidance for several quarters that FY27 (which begins in August) will be the year that they inflect positive on active customer growth on an annual basis. Based on the stock performance, I don't think many people believe they can do it – or that many people are paying attention to this tiny, left for dead company.

Bottomline, it's highly speculative but management has impressed me, the KPIs are moving in the right direction, and even when I hated this business, I thought there was a good niche for them to serve. The key question is how big this niche is (or collection of niches is) and can they prudently and efficiently acquire and retain customers in them. AI is a great tool for this company on so many fronts – whether for visualization tools and virtual “try on”, or for better product suggestions and “Fix” optimization through data mining of past purchase history data and product correlations across cohorts, or a faster and cheaper design process for private label offerings, or higher ROAS when targeting potential new customers. We hear so much hype around AI – but this appears to be a company where it can make a

tangible difference in the here and now. Stitch Fix was founded after all to capitalize on the promise of data science.

At \$4 with a clean balance sheet, the stock is like a perpetual call option, and there are enough things that could go right that make this an attractive speculative investment.

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Catalyst

- Return to sequential Active Customer Growth during FY27, which begins in a month
- Outside chance of a pivot to positive EPS in FY27, but if not in FY27, then for sure in FY28
- Stock buybacks

Messages

No messages